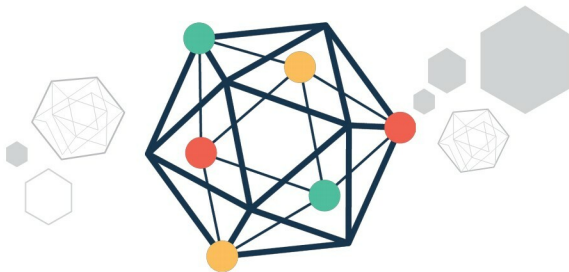


Hyperledger: A Project by The Linux Foundation

Hyperledger is a project that was conceived by The Linux Foundation. It focuses on developing blockchain frameworks and modules to support global enterprise solutions. It is an open source collaborative effort to foster cross-industry blockchain technologies.



Those familiar with the fundamentals of blockchain technologies will know how open source is currently driving the innovation in blockchain frameworks.

However, there are a number of challenges to the widespread use of permissioned distributed ledger technologies (DLT). Key among them are problems associated with the lack of standards, the regulatory challenges and the lack of knowledge about DLT. These challenges are inherent to any new technological infrastructure that replaces an older infrastructure.

Challenges in adopting blockchain technologies

Those adopting blockchain technologies are likely to face challenges in the following areas.

▪ Standards

Since we are still witnessing the early days of blockchain technology, there is currently no consensus on standards in the developer and business communities, as yet. Standards are the key in ensuring interoperability and avoiding risks associated with a fragmented ecosystem. They are critical not just for the distributed ledger itself, but also for supporting services, like identity, privacy and data governance, as well as for the management of keys, the protocols, key-loss and theft. As a result, the International Organization for Standardisation for Blockchain and Distributed Ledger Technologies was

established in 2016 and has defined areas for future work on standardisation. More details are available at <https://www.iso.org/committee/6266604.html>.

▪ Regulation

The lack of regulation around transactions on the blockchain creates an environment of uncertainty for all participants. Highly regulated industries like financial services are treading carefully in the DLT space. There are no regulatory guidelines governing smart contracts, causing much anxiety among various players like lawyers, regulators, programmers and businesses. The lack of regulatory guidelines, along with a lack of industry standards, prevents the rapid adoption of DLT.

▪ Lack of knowhow

The lack of knowhow (as well as know-whom and know-where) around DLT and the shortage of experts in the area is a major challenge when adopting distributed ledger technologies. While there has been an exponential increase in the interest around blockchain technology, there is a huge shortage of talent in the business and the technical spaces.

Introducing Project Hyperledger

Hosted by The Linux Foundation, Project Hyperledger provides an alternative to the cryptocurrency-based blockchain model and focuses on developing blockchain